



SHRIYAPATIL SHINDE

success MANTRA

Have the willpower to persist and simply refuse to give up

object of ADMIRATION

Infosys and its team's success which achieved its target of \$1 billion sales

biggest OBSTACLE

Spiralling real estate prices which have made it difficult to get retail locations

magalur in Karnataka, Siddhartha started out in life as a research analyst at JM Financial, a financial services group, back in 1983, after graduating in economics from the state's Mangalore University. At that time, all he dreamt of was earning Rs 2.5 lakh a year. While researching stocks, he discovered that Indian farmers used to get 35 cents for 1 kg of coffee, while their overseas counterparts were getting \$1.27. Seeing an opportunity, even though coffee trading was a government monopoly in those days, Siddhartha started buying coffee plantations with the money he had earned in the stock market in the hope that one day the market would be liberalised.

By 1985, he was a full-time proprietary investor in the stock market and owner of 10,000 acre of coffee farms. He says, "When coffee trading was liberalised in the '90s, I doubled the money I had invested in the plantations within a year." Thus, was born ABCTCL in 1993, a company focused on coffee exports. While his plantations

produced 3,000 tonnes of coffee, ABCTCL would trade 20,000 tonnes. In two years, the company became the second largest exporter from India. Next came the task of selling coffee directly to the consumer through neighbourhood Fresh and Ground (F&G) stores. Explains Siddhartha: "We serve 1 lakh customers everyday through this route." The success of these stores was indicative of the potential of coffee retail. In 1996, the first CD store opened on Bangalore's crowded Brigade Road, where a coffee and an hour of Internet surfing cost Rs 100. In doing this, Siddhartha and his team went against the better judgement of his MBA friends. The café was a runaway success. By 2000, there were 14 Coffee Day stores across southern India.

While Coffee Day was taking its time in expansion, other rival chains came along and took the concept national. In 2001, recalls Siddhartha, "We decided we could not be number two in our business so we began expanding." In its new strategy, CD would open its store right next to its rival, Barista. The cafe in Vienna is 300 m away from Starbucks. Its aggressive pricing and youthful ambience attracts youngsters by the droves. However, a modest Siddhartha attributes it to being in the right place at the right time. Says he, "If you had asked me in 1997, how many CDs would a city like Bangalore take, I'd have said three but now we have 135 cafes." The advantage that Coffee Day has over its rivals in India and overseas is that the company can cut costs significantly compared to its rivals. In Europe for instance, while CD's rivals have to spend 12 euros (Rs 768) for 1 kg of coffee, Coffee Day sources it from its plantations for two euros (Rs 128). Siddhartha explains: "From farm to the cup, there are no middlemen."

Having captured a loyal base, the company is now looking at multiple formats. For the coffee connoisseur, soon there will be single estate coffees available at Coffee Day Squares, while the Coffee Day Lounges will focus on providing a relaxed atmosphere to its consumers at airports and highways. Siddhartha wants to see Coffee Day among the world's top three coffee chains in the next 10 years. He's not unduly concerned about the downturn because he's in the market to buy an international coffee chain. That's called brewing success.

by Malini Bhupta